

Wi-Fi in the WFH era

We try to glean how the networking segment has changed since the pandemic began

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Q Could you briefly tell us how the overall networking business in India (TAM) has grown and how has ASUS's networking business in particular, grown in the same period?

Vinay: The networking TAM grew about 25-30 per cent. Our AiMesh category of routers, especially the 2-pack models grew 100 per cent and our Wi-Fi 6 category of routers by 60 per cent.

Q Has there been any shift in buyer behaviour owing to larger demand?

Vinay: Our dual-band range of routers continue to scale up in terms of demand. This has happened because users have become more aware of the limitations of single-band routers and the number of connected devices it can sustain with bandwidth distribution and actual throughput. Even our mesh line of routers which includes dedicated mesh systems have gained popularity.

Q How is this business vertical expected to grow over the next year/quarter?

Vinay: Gauging from the previous two quarters and our current forecast, we expect the business to grow 10 to 13 per cent QoQ.

Q Will the growth sustain in a post-Covid era?

Vinay: Most definitely. The pandemic pushed everyone to work from home,

study from home and even create content from home. Soon most people realised that their basic router provided by their ISP was bottlenecking eventually resulting in users figuring out their pain point – a decent router that can handle and distribute bandwidth well. The trend in technology is the key for a sustained growth and what we have seen in the recent past due to the pandemic is the adaption of the right technology and not just a temporary solution that breaks down when multiple users are connected at the same time and this was a strong adaption from the consumers.

Q Has the increased TAM changed the way vendors/OEMs serve the market? India gets newer technology routers quite late compared to US and EU markets. Wi-Fi 6 units that were showcased at CES 2018 have only been introduced in India this year. Will brands continue to view India in such a manner or will we see simultaneous launches of new networking products with the rest of the world like how we see smartphone/laptop/DIY PC launches?

Vinay: Certainly, yes. The growth in TAM for Dual Band, AiMesh routers or Dual Pack or Triple pack has increased the TAM multifold. In terms of newer technologies introduced in India later – I would say Asus is the only company who tries to introduce the newer technology, investing time and money, even with low sales to ensure the users in India have the experience of the latest technologies. Asus believes in maintaining uniformity in terms of global launches.

Q ASUS has the AI-mesh system. Has the pandemic seen a greater adoption

of mesh systems or are people replacing their older routers with a single new and better router?

Vinay: Our mesh router business has grown 2x with parallel sales growth of standalone routers. We are seeing a lot of demand generation of mesh-compatible routers and stand-alone mesh systems for medium-to-large homes. ASUS is the only manufacturer that offers the end user the flexibility of mixing and matching two different series of mesh compatible routers to form a comprehensive mesh system.

Q Since Wi-Fi 6 is starting to experience mass-adoption, how long will it be before we see Wi-Fi 6 being the most sold segment. Is the market shift from Wi-Fi 5 to Wi-Fi 6 expected to be faster than what we saw when the market was shifting from Wi-Fi 4 to Wi-Fi 5?

Vinay: In my opinion it's just a matter of time. Probably one or two quarters before the product segmentation will change. The conversion period to Wi-Fi 6 will surely be far less as compared to Wi-Fi 5 from Wi-Fi 4 and the reason being is awareness – with so much online data and information available, the technology acceptance will be faster.

Q Has the pandemic led to any new features being introduced in networking segments?

Vinay: Yes, In the Asus Router App, new working modes are available. With the click of a button these can be accessed and triggers changes in routers to work in the selected mode (new modes such as Game Mode / WFH mode and more) thereby making router manageability easy. 



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